

[Policy Statement](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[A. Time & Attendance Controls](#)

[B. Payroll Processing](#)

[C. Payroll Payment](#)

[D. Payroll Advances](#)

[E. Payroll Accounting Guidance](#)

[F. Payroll Accruals](#)

[Definitions](#)

POLICY NUMBER: FP-OPSFIN-150

Payroll Controls

This policy provides guidelines surrounding payroll and payroll benefits controls.

POLICY STATEMENT

Payroll can refer to multiple things: employees a company pays along with their employee information, the amount of monies paid to employees during each pay period, or the process of actually calculating and distributing wages, taxes, and benefits. All of the above are covered within this policy.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. TIME & ATTENDANCE CONTROLS

- 1) All timesheets must be approved by the Department Head (or designee) and Team Member prior to submission for payroll processing. If the Hotel has a Time & Attendance (T&A) system with audit trail capabilities (i.e., captures names and dates), the approval may be documented in the system prior to submission for payroll processing.
- 2) All edits to hours must either be documented within the T&A system or where a system is not in place they must be documented in writing on a timesheet (or equivalent). All edits must include the Team Member's name, department, position, hours adjusted, and reason for change. The edits must be approved by an applicable Supervisor or Department Head and the Team Member prior to submission for payroll processing. Again, these approvals may be documented in the T&A system as long as an audit trail exists.
- 3) If local law or union agreement dictates that edits require a wet signature, the Hotel must abide by those guidelines regardless of the system capabilities to capture edit approvals.
- 4) All overtime hours must be approved by the Operations Leader (or designee) and Finance leader (or designee). When possible, overtime should be scheduled and approved in advance. Unscheduled or unapproved overtime must be reported and approved prior to the end of the subsequent pay period.
- 5) The final post-edit reports from the T&A system must be reviewed and approved by the Finance Leader or designee. The final post edit report must include at a minimum regular hours, overtime hours and other hours per Team Member.

Payroll Identification Audits

- 1) All properties with a biometric T&A system, are exempt from the following Payroll Identification Audit requirements.
- 2) Payroll Identification Audits must be completed at a minimum twice per year by either completing the entire Team Member population or by completing selected departments at periodic intervals throughout the year ensuring that all Team Members for all departments are covered at least twice per year.
- 3) Payroll Identification Audits must be conducted by Team Member(s) independent of the Payroll and HR functions.

- 4) During the Payroll Identification Audit, all Team Members must present valid identification and sign the audit document encompassing all Team Members listed on the payroll register.
- 5) Any remaining Team Members who have not signed the audit document after 30 days from the initial audit date must be reported to the Finance Leader and/or Operations Leader for investigation and resolution.
- 6) Payroll Identification Audit documentation should be retained.

B. PAYROLL PROCESSING

- 1) All Team Members, irrespective of payment method, must be on the payroll software. This includes, but is not restricted to Team Members hired for a season or specific length of time, Team Members on expatriate contracts, Regional, or Corporate Team Members etc. whose payroll is processed by the Hotel (or a shared service center on behalf of the Hotel).
- 2) The Finance Team is responsible for reviewing, controlling, processing, and ensuring payroll is paid in a timely manner and recorded accurately to the General Ledger. Human Resources is responsible for the administration of payroll- i.e. creating personnel files, entering and updating Team Member information, etc.
- 3) The Finance Team Member responsible for payroll must review the post-edit payroll data provided by the T&A system (or equivalent) and perform the following:
 - i) Verify all departments have approved time & attendance records
 - ii) Review each edit for reasonableness and ensure that the change was approved by both the Department Head (or designee) and the Team Member
 - iii) Verify that any overtime to be paid is approved and calculated correctly
 - iv) Other earnings such as banquet gratuities, incentives, productivity bonus, etc. are approved as needed and calculated correctly
 - v) Ensure all Personnel Action Forms (or equivalent) indicating deductions, adjustments, etc. are received timely, approved, and recorded in the payroll system
- 4) Once payroll is confirmed but prior to authorizing the release for payment, a review of the payroll register (or equivalent) must occur. The payroll register review must include a reconciliation of all time worked (i.e. hours, days, or contracted amounts) per the payroll system to all time worked (i.e. hours, days, etc.) per the time and attendance system. Any variances must be identified, documented, and resolved. The payroll register reconciliation must be signed and dated by the Finance Leader prior to pay day.
- 5) Each pay period, the Payroll Change Report (or equivalent) must be run, reviewed, and approved by the Finance Leader. The report(s) must agree to supporting documentation (i.e., Personnel Authorization Forms, new hire contracts, system workflow, etc.), and any discrepancies identified must be documented and resolved no later than the subsequent pay period end. The Payroll Change Report may vary from system to system, but at a minimum must include the following:
 - i) Any changes to a Team Member's salary / rate of pay
 - ii) Any changes to a Team Member's bank details (not applicable if this change can be performed by the Team Member themselves via self-service system)
 - iii) All new Team Members

- iv) All terminated Team Members
- 6) The Payroll Change Report review should include a search for duplicate bank accounts. Where this exists, this must be investigated to ensure the duplication is valid (i.e., husband and wife employed at same hotel, etc.).
- 7) When there is no Finance Leader available, the Payroll Register reconciliation and Payroll Change Report must be reviewed by both the Operations Leader and Human Resources Leader.

C. PAYROLL PAYMENT

- 1) Live paychecks or pay slips must never be handled by a Team Member responsible for payroll processing or Human Resource functions.
- 2) Hilton's preferred method of salary & wage payments is fund transfer to a Team Member's bank account. Payments can also be made by check.
- 3) If due to extenuating circumstances, cash payment is the only possible method of salary & wage payment, this must not be paid from the daily deposit. Withdrawal of the required cash from the bank must be arranged in advance. A specific time must be set when Team Members can collect their cash payment. Upon payment, both the Team Member receiving and issuing the payment must sign to state that the specified amount has been issued and received. This must be reserved for emergency situations only.
- 4) All involuntary payroll deductions are to be made in accordance with local legislation, collective bargaining agreement(s), court order, etc. Voluntary deductions require written approval by the Team Member.
- 5) A manual payment should only be used when there is a payroll processing error that fails to compensate the Team Member correctly for salary & wages earned. If the error is immaterial or the Team Member is willing to wait until the next payroll cycle, then it is acceptable to do so unless prohibited by local law.
- 6) When it has been determined that a manual payment is required, the Finance Team Member responsible for payroll should obtain documentation detailing the reason for error and approval from the Department Head (or designee), Human Resources Leader, and Finance Leader to process the manual payment. The Finance Team Member responsible for payroll must ensure that the Team Member's pay records are updated.
- 7) Severance payments or packages must be approved by the Finance Leader and Operations Leader and should be reviewed in consultation with the Regional Finance Director and Operations AVP, as deemed necessary.

D. PAYROLL ADVANCES

- 1) A payroll advance can only be made to a Team Member in the event of a non-recurring, extraordinary circumstance and can only be granted after approval by the Operations Leader.
- 2) Statutory or collective bargaining agreements that allow vacation to be paid in advance of the Team Member's scheduled leave, does not constitute a payroll advance within the scope of these policy guidelines.
- 3) The advance cannot be more than the net take home pay at the time of the payroll advance disbursement.
- 4) All payroll advances are to be paid back by the subsequent pay period after the disbursement. Under no circumstances are payroll advances to go unpaid longer than this, as this will then constitute a Team Member loan, which is not permitted under any circumstances.

- 5) Documentation of the payroll advance must include the Team Member’s signature and date and must be retained at the Hotel.

E. PAYROLL ACCOUNTING GUIDANCE

- 1) The posting of payroll to the General Ledger must be carried out by the Finance Team. It is desirable that this is done through an automatic interface; however, if this is not possible, a journal entry must be posted.
- 2) The journal must be prepared by a Finance Team Member, based on information from the payroll system. For confidentiality reasons, this must not be detailed by Team Member, but in summary level.
- 3) All payroll records must be kept in a secured and locked location, with access restricted to authorized Team Members (i.e., Finance, Human Resources, etc.).

F. PAYROLL ACCRUALS

Leave includes vacation, Paid Time Off (PTO), and sick.

- 1) Leave is earned based on time worked and must be accrued each month-end. The reserve must be based on either days or hours worked according to the Hotel’s approved vacation/PTO/sick policy.
- 2) Where union agreements require a distinction between earned and accrued leave, both must be accrued for.
- 3) Payroll accruals must be calculated on an individual basis and must be charged to the appropriate expense and payroll liability accounts (i.e., vacation, PTO, or sick).
- 4) Departmental P&L accounts should not be charged with the payroll cost of a Team Member during the period they are on leave. The cost should be applied to the applicable payroll liability account (i.e., vacation, PTO, or sick).

Contingent wages is a payroll expense for estimated retroactive union wage increases which have been incurred but not paid.

- 5) Upon expiration of a Union Agreement, contingent wages, including employers’ associated taxes and benefits, must be accrued based on the estimated terms of the new contract. These expenses are to be accrued by debiting the appropriate departmental salary, wage, and benefit accounts and crediting a contingent wage liability account. This entry should be reversed when the retroactive wages and benefits are subsequently paid.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Accrued Leave	Leave (Vacation, PTO, or Sick) that will be earned by a Team Member pending either completion of the calendar year, fiscal period or hire / anniversary date.
Earned Leave	Leave (Vacation, PTO, or Sick) that has been earned by the Team Member and is available for use by the Team Member.

Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Personnel Action Form	Referred to as a “PAF”. Form used to document changes to a Team Member’s file, such as name, address, salary, deductions, etc. May be electronic, paper, or a workflow within an HR / Payroll system.
Regional Finance Director	Regional Team Member responsible for the Accounting / Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.
Scheduled Overtime	Planned overtime generally caused by staffing issues or an unusual increase in business activity.
Unscheduled Overtime	Overtime which was not planned generally caused by call outs, unexpected increases in business volume, system problems, etc.